

26STCP02557 26STCP02557

County: los-angeles

Division: Civil Law and Motion

Department: 734

Hearing date: 2026-08-13

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Case Number: 26STCP02557 Hearing Date: August 13, 2026 Dept: 734

The following tentative ruling is issued pursuant to Rule of Court 3.1308 at 1:44 PM on August 12, 2026.

Rule of Court 3.1308(a)(1) provides that a “tentative ruling will become the ruling of the court if the court has not directed oral argument by its tentative ruling and notice of intent to appear has not been given.”

The Court does not desire oral argument on the motion addressed herein. Notice of intent to appear is REQUIRED pursuant to California Rule of Court 3.1308(a)(1).

No later than 4:00 p.m. on August 12, 2026, the moving and opposing parties must provide notice to ALL OTHER PARTIES and the staff of Department 734 whether the party intends to (1) appear and argue the motion, or (2) submit to the tentative ruling.

Notice to Department 734 should be sent by email to , with opposing parties copied on the email. The high volume of telephone calls to Department 734 may delay the Court's receipt of notice, so telephonic notice to 213-830-0776 should be reserved for situations where parties are unable to give notice by email.

Petitioner seeks court approval of a proposed transfer of structured settlement payments.

TENTATIVE RULING

Conditioned upon Petitioner/Seller addressing the problems identified below in a satisfactory manner, Petitioner DRB Capital, LLC's petition for approval of transfer of structured settlement payment rights is GRANTED.

ANALYSIS

Petition For Approval Of Transfer Of Structured Settlement Payments

Petitioner seeks court approval of a proposed transfer of structured settlement payments.

(a) A direct or indirect transfer of structured settlement payment rights is not effective and a structured settlement obligor or annuity issuer is not required to make any payment directly or indirectly to any transferee of structured settlement payment

rights unless the transfer has been approved in advance in a final court order based on express written findings by the court that:

- (1) The transfer is in the best interest of the payee, taking into account the welfare and support of the payee's dependents.
- (2) The payee has been advised in writing by the transferee to seek independent professional advice regarding the transfer and has either received that advice or knowingly waived, in writing, the opportunity to receive the advice.
- (3) The transferee has complied with the notification requirements pursuant to paragraph (2) of subdivision (f), the transferee has provided the payee with a disclosure form that complies with Section 10136, and the transfer agreement complies with Sections 10136 and 10138.
- (4) The transfer does not contravene any applicable statute or the order of any court or other government authority.
- (5) The payee understands the terms of the transfer agreement, including the terms set forth in the disclosure statement required by Section 10136.
- (6) The payee understands and does not wish to exercise the payee's right to cancel the transfer agreement.

(Insurance Code, § 10139.5(a).)

Pursuant to a personal injury settlement, Gregory Coachman ("Seller" or "Payee") is entitled to certain structured settlement payments.

Coachman, as Seller, and Petitioner DRB Capital, LLC have entered into an Agreement, whereby, in exchange for \$50,469.12, Seller agrees to transfer future payments totaling \$857,150.00, consisting of 217 life contingency payments of \$3,950.00 commencing on or about July 23, 2024 and ending on or about July 23, 2063. (Purchase Contract, Amended Petition, Exh. A; California Disclosure Statement (Amended Petition, Exh. C.)

The discounted present value of the amount being sold is \$223,716.31, calculated by applying the 5.00% discount rate utilized by the Internal Revenue Service to value annuities in probate proceedings. The purchase price was calculated using a discount rate of 10.62%. If Seller did not sell the right to receive structured settlement payments but instead borrowed the net amount of \$50,469.12 and paid that loan back in installments with each of the payments transferor is now selling, the equivalent interest rate would be 11.10% per year. (Amended Petition, Exh. B.)

All of this information has been properly disclosed to the Transferor by way of the disclosure form in compliance with Insurance Code § 10136, as required by § 10139.5(a)(3). (Amended Petition, Exh. C.) Transferor was advised in writing to seek independent professional advice, both legal and financial. (Id.) Transferor chose not to seek such advice. (Amended Petition, Exh. D.) The Petitioner has complied with the disclosure requirements. (Ins. Code, § 10139.5(a)(2).)

The transfer agreement (Amended Petition, Exh. A) complies with Insurance Code §§ 10136 and 10138 [§ 10139.5(a)(3)]; the transfer does not contravene any applicable statute or order of any court or other governmental authority (Ins. Code, § 10139.5(a)(4)).

A copy of the Annuity Contract is attached as Exhibit E to the Amended Petition. (Ins. Code § 10139.5(f)(2)(E).)

Problem: There is no indication whether Seller has been able to locate the qualified assignment agreement. However, transferee may satisfy the Court that reasonable efforts to locate and secure a copy of the document have been made, including making inquiry with the payee. (Ins. Code § 10139.5.)

A copy of the underlying Settlement Agreement is attached as Exhibit E to the Amended Petitioner. (Ins. Code § 10139.5(f)(2)(G).)

Information About Transferor

Seller is 42 years old Ins. Code, § 10139.5(c)(1). (Declaration of Gary Coachman, ¶ 1.) Seller is not married. (Id. At ¶ 3)

Problem: Seller has not set forth his address at ¶ 2 of his Declaration, as required by Ins. Code § 10139.5(c)(1).

Problem: The Seller has one dependent, Sa'ed Coachman, age 15. (Coachman Decl., ¶ 5.) However, the place or residence is not stated, as required by Ins. Code, § 10139.5(c)(3).

Seller's monthly income is \$4,000 per month from fashion wholesale. (Coachman Decl., ¶ 4.)(Ins. Code, § 10139.5(c)(4).))

Seller does not have any court-ordered child support or maintenance obligations. (Coachman Decl., ¶ 6.)(Ins. Code, § 10139.5(c)(5).)

Seller intends to use the funds to invest in and grow his fashion wholesale business. (Coachman Decl., ¶ 9.)

Seller sets forth numerous previous transfers. (Ins. Code, § 10139.5(c)(6).) Coachman Decl., ¶ 8.) He does not express dissatisfaction with these transfers.

Problem: Seller does not state whether that payments from the underlying settlement were intended to pay for the future medical care and treatment relating to the incident, or for necessary living expenses. (Ins. Code, § 10139.5(b)(5) & (6).) (Coachman Decl., ¶ 7(d).)

Seller does not indicate whether she requires any future medical care and treatment. (Ins. Code, § 10139.5(b)(7).) However, Seller indicates that future medical care or treatment for injuries sustained did not give rise to the settlement. (Coachman Decl., ¶ 7(e).)

The Petitioner has served a copy of the notice to all interested parties. (Ins. Code, § 10139.5(f)(2).

The Court finds that the transfer is fair, reasonable and in the best interest of the Payee/Seller, taking into account the welfare and support of any dependents. (Ins. Code, § 10139.5(a)(1) & (b)(1) - (15).) The Seller/Transferor understands the terms of the transfer agreement, Seller/Transferor has evidenced her understanding of the right to cancel and election not to cancel the transfer agreement. (Insurance Code § 10139.5(a)(6)).)

Conditioned upon Petitioner/Seller addressing the problems identified above in a satisfactory manner, the petition for approval of transfer of structured settlement payment rights is GRANTED.